

a force in pricing. One reason I like macro so much is because I am a small fish swimming in a sea of real money. Fundamentals matter. I am not playing a game against people like me. That would be a zero-sum, difficult game.

Does there have to be an identifiable reason for every trade?

Not necessarily. For example, before the 1998 financial crisis began, I didn't even know who LTCM was.

Long Term Capital Management (LTCM) was the most famous hedge fund failure in history. (Madoff may have been even more prominent, but his operation was a Ponzi scheme rather than a hedge fund. Madoff simply made up performance results and never did any trading.) In its first four years of operation, LTCM generated steady profits, quadrupling the starting net asset value. Then in a five-month period (May to September 1998), it all unraveled, with the net asset value of the fund plunging a staggering 92 percent. LTCM's positions had been enormously leveraged, placing the banks and brokerage firms that had provided credit to them at enormous risk. Fears that LTCM's failure could have a domino effect throughout the financial system prompted the Federal Reserve to orchestrate (but not pay for) a bailout for the firm. LTCM's liquidation of its enormously leveraged positions caused havoc in many financial markets. What made LTCM such a compelling story was not merely the magnitude of the failure and its threat to the financial system, but also the firm's impressive roster of brainpower, which included two Nobel Prize winners.

At the time, I was doing my own prop trading with no contacts. At the start of the crisis, there was nothing about LTCM in the press, either. I had no idea of any reason for what was going on in the markets, and I had no way of finding out. All I knew was that T-bond futures were going up limit every day. That told me there was something going on. I didn't need to know why. Once you realize something is happening, you can trade accordingly. Trades don't have to start based on fundamentals. If you wait until you can find out the reason for the price move, it can be too late. A great Soros quote is "Invest first; investigate later." You don't